from Nepal and the Darjeeling area in the early twentieth century. They were brought in to cultivate the tiny, and, until then, largely uninhabited, strip of lowland running from east to west between the mountains and the Indian border. Nepalese migrants turned the once inhospitable and malaria-infested jungles of southern Bhutan into a thriving agricultural region of rice fields, vegetable gardens, orange orchards, and cardamom groves. The highlands were supplied with food, and the government could levy badly needed taxes on the industrious migrants. The Lhotshampas are mostly Hindu, and speak Nepali, an Indo-Aryan language, and are quite easily distinguishable from the rest of the population by their South Asian looks. The Lhotshampas, however, did not fit into the new nation that the fourth druk gyalpo was going to build. Many Bhutanese remembered the fate of neighbouring Sikkim, where Nepalese migrants came to outnumber the indigenous Bhutias and Lepchas, and which eventually lost whatever independence it had once had.

The issue was actually not new. As early as 1942, the then British political officer for Sikkim, Bhutan, and Tibet, Sir Basil Gould, had warned the Bhutanese about the potential danger of immigrants taking over the country. The Bhutanese replied that since the settlers were not registered as subjects they would be evicted 'if need arose'.[38] In 1952, a party was formed by Lhotshampas who had left Bhutan and settled in West Bengal and Assam. It was called the Bhutan State Congress (BSC) and advocated the creation of a 'Greater Nepal' encompassing Nepal, Sikkim, northern West Bengal, and Bhutan. Two years later, they made an effort to expand their activities into Bhutan with a satyagraha (an Indian-style nonviolent resistance) in the Bhutanese village of Sarbhang. But few Lhotshampas joined in because they did not want to jeopardize their already tenuous citizenship status. The potential threat that the BSC could pose was neutralized by granting concessions to the Lhotshampas such as representation in the National Assembly.

Bhutan also introduced a Citizenship Act in 1958 to tackle the problem. Amnesty was given to all those who could prove that they had lived in Bhutan for at least 10 years prior to the enactment of the new regulations. Further immigration was also banned, but that became a problem when the highway from Phuntsholing to Thimphu was built in the early 1960s. Bhutan wanted to use a local workforce, while India saw that as impracticable because the country lacked the capacity to supply workers